

Response to Referee #3

We thank the referee for the careful reading of our manuscript and for the very positive and encouraging assessment.

Referee comment:

This is an outstanding piece of research. It combines theoretical novelties in the SOE DSGE framework with both representative and relevant case of Ecuador in the empirical illustration. Previous theory and literature are properly acknowledged and referenced. Mathematical derivation, while cumbersome, are detailed and enable the reader to follow each step of the process without much difficulty. Theoretical results are very important as they provide basis for many variations within this framework to be empirically analyzed. Empirical results appear to be reasonable and within expectations one might have based on previously developed theory. Excellent work!

Response:

We are grateful to the referee for the generous and thoughtful evaluation of our work. We appreciate the recognition of both the theoretical and empirical contributions of the paper, as well as the clarity of the derivations and the relevance of the application.

In the revised version of the manuscript, we have further improved the exposition of the model and the fiscal consolidation analysis, including a clearer presentation of the transmission mechanisms and the implementation of the consolidation under perfect foresight. We hope that these revisions further strengthen the clarity and usefulness of the framework.

Closing remark

We thank the referee again for the encouraging report.

Sincerely,
Manuel González-Astudillo, Juan Guerra-Salas, Avi Lipton